LR_metrics

Thursday, 12 March 2026 10:46 AM

Error $= y - \hat{y}$

$y \rightarrow$ actual

$\hat{y} \rightarrow$ predicted.

Mean Squared Error (MSE)

$\rightarrow$ Finds Squared average difference between actual and predicted.

$$MSE = \frac{1}{n} \sum (y - \hat{y})^2$$

y — actual

$\hat{y} \rightarrow$ predicted

$n \rightarrow$ observations.

Mean absolute Error (MAE)

Finds average absolute difference between actual and predicted.

$$MAE = \frac{1}{n} \sum |y - \hat{y}|$$

y — actual

$\hat{y}$ — predicted

Root Mean Squared Error (RMSE)

Square root of MSE

$$RMSE = \sqrt{MSE}$$

Mean absolute percentage Error (MAPE)

Average absolute percentage Error given by data

$$MAPE = \frac{1}{n} \sum \left| \frac{y - \hat{y}}{y} \right| \times 100$$